COVER SHEET

SEC Registration Number

A 1 9 9 7 - 1 3 4 5 6

COMPANY NAME

CONCEPCION INDUSTRIAL CORPORATION

PRINCIPAL OFFICE (No./Street/Barangay/City/Town/Province)

308 SEN. GIL PUYAT AVENUE
MAKATI CITY

Form Type	Department requiring the report	Secondary License Type, if Applicable
17-Q	CGFD	

COMPANY

Company's Email Address	Company's Telephone Number/s	Mobile Number
sec_cic@cic.ph	87721819	+639992287662

No. of Stockholders	Annual Meeting (Month/Day)	Fiscal Year (Month/Day)
27	Third Wed. of July	12/31

CONTACT PERSON INFORMATION

The designated contact person ***MUST*** be an Officer of the Corporation

Name of Contact Person	Email Address	Telephone Number/s	Mobile Number
Omar C. Taccad	omar.taccad@cic.ph	87721819	+639189146465

CONTACT PERSON's ADDRESS

Km. 20 East Service Road South Super Highway, Alabang, Muntinlupa City

Note 1: In case of death, resignation or cessation of office of the officer designated as contact person, such incident shall be reported to the Commission within thirty (30) calendar days from the occurrence thereof with information and complete contact details of the new contact person designated.

2: All boxes must be properly and completely filled-up. Failure to do so shall cause the delay in updating the corporation's records with the Commission and/or non-receipt of Notice of Deficiencies. Further, non-receipt of Notice of Deficiencies shall not excuse the corporation from liability for its deficiencies.

SECURITIES AND EXCHANGE COMMISSION

SEC FORM 17-Q

QUARTERLY REPORT PURSUANT TO SECTION 17 OF THE SECURITIES REGULATION CODE AND RULE 17(2)(b) THEREUNDER

1. For the quarterly period ended September 30, 2025

2. SEC Identification Number **A1997-13456** 3. BIR Tax Identification No. **005-029-401-000**

4. Exact name of issuer as specified in its charter - **CONCEPCION INDUSTRIAL CORPORATION**

5. **Philippines**
   Province, Country or other jurisdiction of incorporation or organization

6. Use Only)
   Industry Classification Code:

7. **308 Sen. Gil Puyat Avenue, Makati City, Philippines** — **1209**
   Address of principal office — Postal Code

8. **+632 7721819**
   Issuer's telephone number, including area code

9. N/A
   Former name, former address, and former fiscal year, if changed since last report.

10. Securities registered pursuant to Sections 8 and 12 of the SRC, or Sec. 4 and 8 of the RSA

Title of Each Class	Number of Shares of Common Stock Outstanding and Amount of Debt Outstanding
COMMON	**393,655,959** (as of September 30, 2025)

11. Are any or all of these securities listed on a Stock Exchange.

    Yes [X] No [ ]

    If yes, state the name of such stock exchange and the classes of securities listed therein:
    Philippine Stock Exchange **Common Stock**

12. Check whether the issuer:

    (a) has filed all reports required to be filed by Section 17 of the SRC and SRC Rule 17.1 thereunder or Section 11 of the RSA and RSA Rule 11(a)-1 thereunder, and Sections 26 and 141 of The Corporation Code of the Philippines during the preceding twelve (12) months (or for such shorter period that the registrant was required to file such reports);

    Yes [X] No [ ]

    (b) has been subject to such filing requirements for the past ninety (90) days.

    Yes [X] No [ ]

13. The aggregate market value of the voting stock held by non-affiliates of the registrant is P1.4 billion. The price used for this computation is the closing price as of September 30, 2025 at P13.5.

SIGNATURES

Pursuant to the requirements of the Securities Regulation Code, the issuer has duly caused this report to be signed on its behalf by the undersigned thereunto duly authorized.

RAJAN KOMARASU
Chief Finance and Operating Officer

October 27, 2025

PART I – FINANCIAL INFORMATION

Item 1. Financial Statements

The unaudited consolidated financial statements of Concepcion Industrial Corporation (the "Company" or "CIC") and its subsidiaries, Concepcion-Carrier Air Conditioning Company ("CCAC"), Concepcion Durables, Inc. ("CDI"), Concepcion-Otis Philippines, Inc. ("COPI"), Concepcion Business Services, Inc. ("CBSI"), Cortex Technologies Corporation ("CTC"), Alstra Incorporated ("Alstra"), "Teko Solutions Asia Inc. ("Teko") and "Tenex Services Inc." ("Tenex") (collectively, the "Group") for the periods ended September 30, 2025 and 2024, and the audited consolidated financial statements of the group as at December 31, 2024, are attached to this 17-Q report, comparing the following:

1.1 Consolidated Statements of Financial Position as at September 30, 2025 and December 31, 2024 (Annex A)
1.2 Consolidated Statements of Total Comprehensive Income for the periods ended September 30, 2025 and 2024 (Annex B)
1.3 Consolidated Statements of Changes in Equity for the periods ended September 30, 2025 and 2024 (Annex C)
1.4 Consolidated Statements of Cash Flows for the periods ended September 30, 2025 and 2024 (Annex D)
1.5 Notes to Consolidated Financial Statements as at September 30, 2025 and December 31, 2024 and for the periods ended September 30, 2025 and 2024 (Annex E)

Item 2. Management's Discussion and Analysis of Financial Condition and Results of Operations [based on the Unaudited Consolidated Results for the Quarters and Periods Ended September 30, 2025 (Annex F)]

PART II – OTHER INFORMATION

The following reports on SEC Form 17-C were filed during the 3rd quarter (Q3) of 2025:

Date of Report	Items Reported
July 22, 2025	Notice of Investors and Analysts' Briefing
July 24, 2025	Press Release on CIC's 15% PATAMI Growth in Q2 2025
July 24, 2025	Annual and Stockholders' Meeting and Organizational Meeting of the Board of Directors

ANNEX A

Concepcion Industrial Corporation and Subsidiaries

Consolidated Statements of Financial Position
As at September 30, 2025 and December 31, 2024
(All amounts in thousand Philippine Peso)

	Notes	2025	2024
A S S E T S			
Current assets			
Cash and cash equivalents	2	1,495,454	2,398,515
Trade and other receivables, net	3	3,361,924	4,136,234
Contract assets		1,118,962	1,015,568
Inventories, net	4	4,226,005	2,940,648
Prepayments and other current assets		369,356	282,194
Total current assets		10,571,701	10,773,159
Non-current assets			
Property and equipment, net		589,593	492,400
Investment property		40,255	40,255
Investment in associates	5	437,203	227,819
Goodwill	6	802,362	802,362
Intangible assets, net	6	101,967	111,588
Right-of-use assets, net		336,769	200,767
Deferred income tax assets, net		692,619	693,500
Other non-current assets		81,243	88,860
Total non-current assets		3,082,011	2,657,551
Total assets		13,653,712	13,430,710
Current liabilities			
Trade payables and other liabilities	7	4,666,138	4,803,192
Short-term borrowings	8	123,350	4,600
Lease liabilities		52,413	124,557
Provision for warranty		87,744	100,216
Other provisions		122,858	117,490
Income tax payable		7,454	58,586
Total current liabilities		5,059,957	5,208,641
Non-current liabilities			
Retirement benefit obligation	12	686,615	660,715
Lease liabilities		303,906	99,141
Provision for warranty		-	3,383
Total non-current liabilities		990,521	763,239
Total liabilities		6,050,478	5,971,880
Equity			
Attributable to owners of the Parent Company			
Share capital	13	407,264	407,264
Share premium	13	993,243	993,243
Treasury shares	13	(292,064)	(292,064)
Retained earnings		4,687,220	4,439,416
Other comprehensive loss		(94,986)	(94,986)
		5,700,677	5,452,873
Non-controlling interest		1,902,557	2,005,957
Total equity		7,603,234	7,458,830
Total liabilities and equity		13,653,712	13,430,710

The notes on pages 1 to 9 are integral part of these consolidated financial statements.

ANNEX B

Concepcion Industrial Corporation and Subsidiaries

Consolidated Statements of Total Comprehensive Income
For the periods ended September 30, 2025 and 2024
(All amounts in thousand Philippine Peso, except earnings per share)

	Notes	**For the nine months ended**		**For the three months ended**	
		2025	**2024**	**2025**	**2024**
Net sale of goods		12,875,467	12,506,443	3,474,816	3,415,275
Sale of services		1,079,040	1,098,116	408,369	378,390
Net sales	9	13,954,507	13,604,559	3,883,185	3,793,665
Cost of sales and services	10	(9,486,272)	(8,990,612)	(2,624,492)	(2,509,058)
Gross profit		4,468,235	4,613,947	1,258,693	1,284,607
Operating expenses	11	(3,505,544)	(3,397,750)	(1,095,925)	(1,047,177)
Other operating income (loss), net		52,602	29,925	(13,888)	50,521
Operating income		1,015,293	1,246,122	148,880	287,951
Interest expense		(17,093)	(11,173)	(5,685)	(3,208)
Income before share in net income of associates and income tax		998,200	1,234,949	143,195	284,743
Share in net income of associates	5	209,384	102,445	50,602	9,708
Income before income tax		1,207,584	1,337,394	193,797	294,451
Income tax expense		(280,524)	(392,520)	(52,309)	(76,244)
Net income for the period		927,060	944,874	141,488	218,207
Other comprehensive income that will not be subsequently reclassified to profit or loss					
Remeasurement gain (loss) on retirement benefits, net of tax		-	-	-	-
Total comprehensive income for the year		927,060	944,874	141,488	218,207
Net income (loss) attributable to:					
Owners of the Parent Company		641,460	554,664	107,164	142,396
Non-controlling interest		285,600	390,210	34,324	75,811
		927,060	944,874	141,488	218,207
Total comprehensive income attributable to:					
Owners of the Parent Company		641,460	554,664	107,164	142,396
Non-controlling interest		285,600	390,210	34,324	75,811
		927,060	944,874	141,488	218,207
Earnings (loss) per share - basic and diluted	14	1.63	1.40	0.28	0.36

The notes on pages 1 to 9 are integral part of these consolidated financial statements.

ANNEX C

Concepcion Industrial Corporation and Subsidiaries

Consolidated Statements of Changes in Equity
For the periods ended September 30, 2025 and 2024
(All amount in thousand Philippine Peso)

	Notes	Attributable to owners of the Parent Company						
		Share capital	**Share premium**	**Treasury shares**	**Retained earnings**	**Other comprehensive income (loss)**	**Non-controlling interest**	**Total**
Notes		13	13	13				
Balances as at January 1, 2025		407,264	993,243	(292,064)	4,439,416	(94,986)	2,005,957	7,458,830
Comprehensive income								
Net income for the year		-	-	-	641,460	-	285,600	927,060
Remeasurement gain (loss) on retirement benefits, net of tax		-	-	-		-		
Total comprehensive income for the year		-	-	-	641,460	-	285,600	927,060
Transactions with owners								
Cash dividends declared		-	-	-	(393,656)	-	(389,000)	(782,656)
Treasury shares		-	-			-		
Total transactions with owners		-	-	-	(393,656)	-	(389,000)	(782,656)
Balances as at September 30, 2025		407,264	993,243	(292,064)	4,687,220	(94,986)	1,902,557	7,603,234
Balances as at January 1, 2024		407,264	993,243	(241,464)	3,949,873	(69,814)	1,890,166	6,929,268
Comprehensive income								
Net income for the period		-	-	-	554,664	-	390,210	944,874
Remeasurement gain (loss) on retirement benefits, net of tax		-	-	-	-	-	-	-
Total comprehensive income for the year		-	-	-	554,664	-	390,210	944,874
Transactions with owners								
Cash dividends declared		-	-	-	(277,629)	-	(329,000)	(606,629)
Treasury shares		-	-	(50,600)	-	-	-	(50,600)
Total transactions with owners		-	-	(50,600)	(277,629)	-	(329,000)	(657,229)
Balances as at September 30, 2024		407,264	993,243	(292,064)	4,226,908	(69,814)	1,951,376	7,216,913

The notes on pages 1 to 9 are integral part of these consolidated financial statements.

ANNEX D

Concepcion Industrial Corporation and Subsidiaries

Consolidated Statements of Cash Flows
For the periods ended September 30, 2025 and 2024
(All amounts in thousand Philippine Peso)

	2025	2024
Cash flows from operating activities		
Income before income tax	1,207,584	1,337,394
Adjustments for:		
Provisions for (reversals of):		
Warranty cost	136,926	157,973
Commission	50,957	56,946
Inventory obsolescence	30,572	(4,163)
Contingencies	(15,580)	50,754
Impairment of receivables	4,435	(26,924)
Share in net loss (income) of associates	(209,384)	(102,445)
Amortization of right-of-use assets	151,723	134,457
Depreciation and amortization of property and equipment	117,034	109,894
Retirement benefit expense	105,186	99,748
Unrealized foreign exchange losses (gains)	29,643	2,327
Interest income on bank deposits, short-term placements	(20,004)	(27,621)
Interest expense	18,481	12,567
Amortization of intangible assets	9,843	9,167
Loss (Gain) on disposal of property and equipment	2,117	(33)
Operating income before working capital changes	1,619,533	1,810,041
Changes in:		
Trade (net of provision) and other receivables and Contract Assets	803,331	602,398
Inventories	(1,315,930)	(1,017,915)
Prepayments and other current assets	(115,594)	(54,675)
Other non-current assets	(10,657)	25,313
Trade payables and other liabilities	(506,461)	(547,934)
Cash generated from (used in) operations	474,222	817,228
Payments of provision for warranty cost	(152,780)	(136,103)
Payments of other provisions	(36,163)	(35,448)
Retirement contributions/ benefits directly paid by the Group	(33,027)	(10,410)
Interest received on bank deposits	861	5,064
Income tax paid	(124,435)	(33,691)
Net cash provided by operating activities	128,678	606,640
Cash flows from investing activities		
Additions to property and equipment	(212,289)	(154,315)
Additions of intangible assets	(221)	(7,634)
Interest received from short-term placements	19,036	22,190
Proceeds from disposal of property and equipment	-	345
Net cash used in investing activities	(193,474)	(139,414)
Cash flows from financing activities		
Cash distributions of profits	(782,656)	(606,629)
Proceeds from short-term borrowings, net of settlement	118,750	-
Principal repayment of lease liabilities	(155,987)	(134,611)
Interest paid on lease liabilities	(13,069)	(10,916)
Interest paid to the bank on short-term borrowings	(4,349)	(253)
Interest paid on short-term borrowings	(954)	(503)
Acquisitions of treasury shares	-	(50,600)
Net cash used in financing activities	(838,265)	(803,512)
Net increase (decrease) in cash and cash equivalents	(903,061)	(336,286)
Cash and cash equivalents as at January 1	2,398,515	2,372,614
Cash and cash equivalents as at September 30	1,495,454	2,036,328

The notes on pages 1 to 9 are integral part of these consolidated financial statements.

Concepcion Industrial Corporation and Subsidiaries

Notes to the Unaudited Consolidated Financial Statements
As at September 30, 2025 and December 31, 2024 and for the periods ended September 30, 2025 and 2024
(All amounts are shown in thousand Philippine Peso except number of shares, per share amounts and unless otherwise stated)

Note 1 - General information

1.1 Registration and business

Concepcion Industrial Corporation (the Parent Company or CIC) was incorporated and registered with the Philippine Securities and Exchange Commission (SEC) on July 17, 1997 primarily to carry on business as a holding company, including but not limited to the acquisition by purchase, exchange, assignment, gift, importation or otherwise, and to hold, own and use for investment or otherwise, and to sell, assign, transfer, exchange, mortgage, pledge, traffic or otherwise to enjoy and dispose of real and personal property of every kind and description, including land, condominium units, buildings, machineries, equipment, bonds, debentures, promissory notes, shares of capital stock or other securities or obligations, created, negotiated or issued by any corporation, association, or other entity, foreign or domestic, and while the owner thereof, to exercise all the rights, powers and privileges of ownership, including the right to receive, collect, and dispose of, any and all dividends, rentals, interest and income derived therefrom and generally perform acts or things designed to promote, protect, preserve, improve or enhance the value of any such land, condominium units, buildings, machineries, equipment, bonds, debentures, promissory notes, shares of capital stock, securities or obligations to the extent permitted by law without however engaging in dealership in securities, in the stock brokerage business or in the business of an investment company. CIC's subsidiaries are incorporated and operating in the Philippines.

CIC is recognized as one of the Philippines' most established and prominent providers of residential and enterprise solutions, offering an extensive portfolio that includes air conditioning systems, refrigerators, laundry appliances, kitchen and small domestic appliances, as well as elevators and escalators. With its origins rooted in air conditioning and refrigeration, the Company has strategically expanded to become a comprehensive provider of both consumer and commercial solutions, distributing a wide range of products and aftermarket services across numerous international and Philippine brands such as Carrier, Toshiba, Condura, Otis, Midea, Kelvinator, Shark, and Ninja.

CIC's solutions are designed to meet the diverse needs of a wide-ranging clientele, encompassing individuals and families in private residences as well as small, medium, and large-scale developments. These include residential towers, office buildings, entertainment venues, infrastructure projects, and industrial facilities. The Company delivers solutions designed to ensure reliability, durability, comfort, energy efficiency, minimal environmental impact, user-friendliness, and aesthetic value, with customizable features available across various pricing categories.

In addition to product sales, CIC is dedicated to delivering comprehensive aftermarket services, encompassing periodic maintenance, parts supply, repairs, and lifecycle support, thereby ensuring long-term product performance and sustained customer satisfaction. Ongoing investments in technology development, importation capabilities, and customer engagement platforms allow the Company to modify its solutions in response to changes in consumer lifestyles.

CIC's integrated ecosystem of products and services, combining renowned brands, customized solutions, and lifecycle support, positions the Company distinctively within the marketplace and delivers enhanced value to its customers.

CIC and its subsidiaries are collectively called the "Group".

CIC's primary shareholders are Foresight Realty & Development Corp., Hyland Realty & Development Corp., and Horizons Realty Inc., entities registered and doing business in the Philippines, which have equally divided equity over CIC. These companies are beneficially owned by Filipino individuals.

CIC's registered office address, which is also its principal place of business, is located at 308 Gil Puyat Avenue, Makati City. As at September 30, 2025 and December 31, 2024, CIC has three (3) employees.

1.2 Significant business developments

On March 26, 2024, the CIC board approved the issuance of Redeemable Preferred Stock of CBSI of P380 million. On June 25, 2025, the SEC approved the increase of CBSI share capital of which P177 million were already subscribed and paid by CIC.

Note 2 - Cash and cash equivalents

Cash and cash equivalents as at September 30, 2025 and December 31, 2024 consist of:

	2025	2024
Cash on hand	-	257
Cash in banks	553,026	1,052,867
Short-term placements	942,428	1,345,391
Total	1,495,454	2,398,515

Cash in banks and short-term placements amounting to P1,460,499 and P34,955 (2024 – P2,362,393 and P35,865) are made with universal and commercial banks, respectively, that earned interest at the prevailing bank deposit rates.

For the period ended September 30, 2025, total interest income earned from cash in banks and short-term placements amounted to P20,004 (2024 – P27,621).

Note 3 - Trade and other receivables, net

Trade and other receivables as at September 30, 2025 and December 31, 2024 consist of:

	2025	2024
Trade receivables		
Third parties	3,985,784	4,986,673
Related parties	4,982	3,469
Provision for volume rebates, trade discounts and other incentives	(786,215)	(896,805)
Provision for impairment of receivables	(147,514)	(144,138)
Net trade receivables	3,057,037	3,949,199
Non-trade receivables, Net		
Advances / Claims to suppliers	221,481	112,467
Advances to employees	36,484	32,168
Rental deposits	13,705	6,245
Related parties	6,424	6,174
Others, net	26,793	29,981
	304,887	187,035
Total Trade and Other Receivables, net	3,361,924	4,136,234

Advances to employees are realized through salary deductions. Rental deposits are expected to be applied to future lease obligations. All these accounts, including non-trade receivables from related parties, and other receivables do not contain impaired assets and are not past due.

Provisions

The Group applies PFRS 9 simplified approach in measuring expected credit losses (ECL) which uses a lifetime expected loss allowance for all trade receivables and contract assets.

To measure the ECL, trade receivables and contract assets have been grouped based on shared credit risk characteristics and the days past due. The contract assets relate to unbilled work in progress and have substantially the same risk characteristics as the trade receivables for the same types of contracts. The Group has therefore concluded that the expected loss rates for trade receivables are a reasonable approximation of the loss rates for the contract assets.

The expected loss rates are based on the payment profiles of sales over a period of 36 to 60 months and the corresponding historical credit losses experienced within this period.

The Group's financial assets are categorized based on the Group's collection experience with the counterparties as follows:

a. High-performing - settlements are obtained from the counterparty following the terms of the contracts without much collection effort.
b. Under-performing - some reminders/follow-ups are performed to collect accounts from the counterparty.
c. Credit impaired - constant reminders/follow-ups are performed to collect accounts from the counterparty.

The historical loss rates are adjusted to reflect current and forward-looking information on macroeconomic factors affecting the ability of the customers to settle the receivables. The Group has identified inflation rate in the Philippines to be the most relevant factor and accordingly adjusts the historical loss rates based on expected changes in such rates.

The maximum exposure to credit risk at the reporting date is the respective carrying values of trade receivables, contract assets, other receivables and due from related parties as at reporting date.

On that basis, the loss allowance as at September 30, 2025 and December 31, 2024 was determined as follows for both trade receivables and contract assets:

	High performing	Underperforming		Credit impaired	
	Current	Up to 6 months past due	6 to 12 months past due	Over 12 months past due	
Expected loss rate	Within 0%	Within 0% to 6%	Within 1% to 100%	Within 45% to 100%	Total
2025					
Trade receivables					
Third parties	3,104,114	662,907	77,370	141,393	3,985,784
Related parties	4,982	-	-	-	4,982
	3,109,096	662,907	77,370	141,393	3,990,766
Contract assets	1,118,962	-	-	-	1,118,962
Total	4,228,058	662,907	77,370	141,393	5,109,728
Loss allowance	-	22,453	27,054	98,007	147,514
2024					
Trade receivables					
Third parties	3,461,884	1,284,927	146,759	93,103	4,986,673
Related parties	3,469	-	-	-	3,469
	3,465,353	1,284,927	146,759	93,103	4,990,142
Contract assets	1,015,568	-	-	-	1,015,568
Total	4,480,921	1,284,927	146,759	93,103	6,005,710
Loss allowance	-	-	76,183	67,955	144,138

Note 4 - Inventories, net

Inventories, net as at September 30, 2025 and December 31, 2024 consist of:

	Note	2025	2024
At cost			
Raw materials		1,497,104	1,240,815
Finished goods	10	2,162,628	1,422,063
Work in process	10	2,209	1,578
Inventories-in-transit		592,863	281,981
Spare-parts and supplies used in business		112,672	95,783
		4,367,476	3,042,220
Provision for inventory obsolescence		(141,471)	(101,572)
Inventories, net		4,226,005	2,940,648

For the period ended September 30, 2025, the cost of inventories recognized under cost of sales and services amounted to P8,829,711 (2024 – P8,330,269) (Note 10).

Note 5 - Investments in Associate

Details of movement in investment in associate as at September 30, 2025 and December 31, 2024 follow:

	2025	2024
At cost, beginning	260,000	260,000
Additional investments	-	-
At cost, ending	260,000	260,000
Cumulative share in total comprehensive loss, beginning	(32,181)	(161,109)
Share in net income for the year	209,384	129,907
Share in other comprehensive income (loss) for the year	-	(979)
Cumulative share in total comprehensive loss, ending	177,203	(32,181)
Investment in Associates	437,203	227,819

As at September 30, 2025 and December 31, 2024, the investment in associate pertains only to CMI.

Note 6 - Goodwill and intangible assets, net

6.1 Goodwill

Goodwill is the excess of consideration over proportionate share in fair value of net assets.

Goodwill resulted from CIC's acquisition of COPI in 2014, Teko in 2018 and Tenex in 2022.

For the COPI acquisition, the Group applied the proportionate interest approach to account for the resulting NCI from this business combination. The goodwill of P783,983 arising from the acquisition is attributable to an established brand, and customer and product base.

For Teko acquisition, the Group applied the proportionate interest approach to account for its NCI. The goodwill of P18,379 arising from the acquisition is attributable to Teko's web-based platforms, consisting of its website and mobile application.

In 2022 under acquisition method, the Group recognized a goodwill of P4,320 from the acquisition of Tenex. The Group applied the proportionate interest approach to account for its NCI. In 2024, upon acquiring 100% ownership of Tenex, the Group derecognized the goodwill of P4,320 against the outstanding NCI on December 31, 2024.

Impairment test for goodwill

Discounted cash flow (DCF) method was used as base for estimating the recoverable value of COPI and Teko as at September 30, 2025 and December 31, 2024. The Group did not recognize impairment losses for the period ended September 30, 2025 and December 31, 2024 as the recoverable value exceeds the carrying amount of the cash-generating unit (CGU).

6.2 Intangible assets, net

Details and movements of intangible assets account at September 30, 2025 and December 31, 2024 are shown below:

	Customer relationship	Customer backlogs	Computer software	Total
Cost				
At January 1, 2025	187,113	13,883	123,697	324,693
Additions (adjustments)	-	-	221	221
At September 30, 2025	187,113	13,883	123,918	324,914
Accumulated amortization				
At January 1, 2025	83,360	13,883	115,862	213,105
Amortization	5,613	-	4,229	9,842
At September 30, 2025	88,973	13,883	120,091	222,947
Net book values at September 30, 2025	98,140	-	3,827	101,967
Cost				
At January 1, 2024	187,113	13,883	118,561	319,557
Additions (adjustments)	-	-	5,136	5,136
At December 31, 2024	187,113	13,883	123,697	324,693
Accumulated amortization				
At January 1, 2024	75,876	13,883	110,818	200,577
Amortization	7,484	-	5,044	12,528
At December 31, 2024	83,360	13,883	115,862	213,105
Net book values at December 31, 2024	103,753	-	7,835	111,588

Note 7 - Trade payables and other liabilities

Trade payables and other liabilities as at September 30, 2025 and December 31, 2024 consist of:

	2025	2024
Trade payables		
Third parties	1,993,014	1,956,609
Related parties	304,025	229,974
Total Trade Payables	2,297,039	2,186,583
Accrued expenses		
Project costs	445,521	582,715
Outside services	327,847	337,433
Personnel Costs	406,884	423,505
Advertising and promotion	61,874	67,943
Rental and utilities	48,968	48,471
Freight	42,413	51,471
Professional fees	27,195	20,207
Importation costs	10,366	30,242
Repairs and maintenance	9,162	5,553
Others	96,780	94,942
Total Accrued expenses	1,477,010	1,662,482
Other liabilities		
Advances on sales contract	385,301	334,959
Output Value-Added Tax (VAT), net of Input VAT	41,171	116,644
Billings in excess of costs incurred and estimated earnings on uncompleted contracts	85,323	164,192
Withholding taxes and other mandatory government remittances	55,789	73,355
Related parties	6,928	4,118
Others	317,577	260,859
Total Other Liabilities	892,089	954,127
Total	4,666,138	4,803,192

Note 8 - Short-term borrowings

Movements of short-term borrowings as at September 30, 2025 and December 31, 2024 are as follows:

	2025	2024
Beginning	4,600	4,600
Availments	370,000	-
Payments	(251,250)	-
Ending	123,350	4,600

As at September 30, 2025 and December 31, 2024, the Group has unsecured interest-bearing short-term loans ranging from three (3) to six (6) months from 5.85% to 6.85% (2024 – 7.30% to 7.45%)

Interest paid on borrowings during the period ended September 30, 2025 amounted to P4,349 (2024 – P253).

Note 9 - Revenue from contracts with customers

Details of net sales and services for the periods ended September 30 are as follows:

	2025	2024
Gross sales		
Sale of goods (Point in time)	15,223,507	14,713,925
Sale of services (Over time)	1,079,040	1,098,116
	16,302,547	15,812,041
Deductions		
Trade and volume discounts and other incentives	(1,736,733)	(1,747,704)
Sales returns	(611,307)	(459,778)
	(2,348,040)	(2,207,482)
Net sales and services	13,954,507	13,604,559

The Group revised the breakdown of the timing of revenue recognition and related deductions for the period ended September 30, 2024. The changes did not impact last year's total revenue, net income, financial position and cash flow.

Note 10 - Cost of sales and services

Details of cost of sales and services for the periods ended September 30 are as follows:

	Note	2025	2024
Raw materials used		4,269,201	4,434,755
Labor		255,087	192,848
Overhead		473,845	394,153
Total manufacturing cost		4,998,133	5,021,756
Work-in-process, beginning	4	1,578	574
Work-in-process, ending	4	(2,209)	(724)
Cost of goods manufactured		4,997,502	5,021,606
Finished goods inventory, beginning	4	1,422,063	1,223,368
Gross purchases – trading		4,572,774	3,846,799
Finished goods available for sale		10,992,339	10,091,773
Finished goods inventory, ending	4	(2,162,628)	(1,761,504)
Total cost of sales		8,829,711	8,330,269
Cost of installation and services		623,920	637,115
Others		32,641	23,228
Total cost of services		656,561	660,343
Total cost of sales and services		9,486,272	8,990,612

The Group revised the breakdown of Cost of sales and services and related deductions for the period ended September 30, 2024 to conform with the current year's presentation. The changes did not impact last year's total revenue, net income, financial position and cash flow.

Note 11 - Operating expenses

Details of operating expenses for the periods ended September 30 are as follows:

	2025	2024
Personnel costs	1,278,950	1,295,804
Outside services	739,245	728,662
Outbound freight	467,609	385,858
Advertising and promotion	256,380	273,959
Warranty cost	138,026	140,975
Rent and utilities	137,423	118,917
Amortization of right-of-use assets	115,772	107,525
Taxes and licenses	47,910	38,588
Transportation and travel	54,892	47,364
Professional fees	46,992	58,047
Depreciation and amortization	45,290	47,311
Royalty	32,888	36,524
Provision for (reversal of) inventory obsolescence	30,449	(4,163)
Repairs and maintenance	10,889	11,564
Amortization of intangible assets	9,843	9,196
Provision for (reversal of) impairment of receivables	5,035	(31,553)
Provision for (reversal of) contingencies	(21,942)	7,387
Others	109,893	125,785
	3,505,544	3,397,750

Note 12 - Retirement plan

The following are the details of the retirement benefit obligation (asset) and retirement benefit expense as at September 30, 2025 and December 31, 2024:

	CIC	CCAC	CDI	CBSI	COPI	CTC	Teko	Tenex	Total
2025									
Retirement benefit obligation	31,119	409,017	106,200	112,628	6,535	14,673	4,703	1,740	686,615
Retirement benefit expense	4,792	50,358	20,759	21,596	4,910	1,849	622	300	105,186
2024									
Retirement benefit obligation	26,327	394,227	118,467	101,742	1,606	12,824	4,081	1,441	660,715
Retirement benefit expense	1,601	62,850	23,366	20,729	2,823	1,702	1,136	400	114,607

Retirement benefit expense is included as part of personnel costs under operating expenses (Note 11).

Note 13 - Equity

13.1 Share capital

As at September 30, 2025 and December 31, 2024, CIC's authorized share capital amounting to P700,000 is composed of 700 million shares with par value of P1 per share.

The details and movement of share capital as at and for the period ended September 30, 2025 and for the year ended December 31, 2024 follows:

	Number of common shares issued and outstanding	Amount		
		Share capital	Share premium	Treasury shares
January 1, 2024	397,912,491	407,264	993,243	(241,464)
Acquisition of treasury shares	(4,256,532)	-	-	(50,600)
December 31, 2024	393,655,959	407,264	993,243	(292,064)
Acquisition of treasury shares	-	-	-	-
September 30, 2025	393,655,959	407,264	993,243	(292,064)

13.2 Dividend declaration

Cash dividends declared, attributable to owners of CIC, for the period ended September 30, 2025 and for the year ended December 31, 2024 are as follows:

Declaration date	Payment date	Per share	2025	2024	2023
March 26, 2025	April 24, 2025	1.0	393,656	-	-
March 26, 2024	April 26, 2024	0.7	-	277,629	-
March 29, 2023	April 25, 2023	0.5	-	-	198,956

For the period ended September 30, 2025 and for the year ended December 31, 2024, NCI from profit distribution of CCAC and COPI amounted to P340,000 and P49,000, respectively (2024 – P280,000 and P49,000, respectively).

13.3 Treasury shares

CIC's Board of Directors initially approved a non-solicitation share buyback program in 2016, with subsequent extensions over the years. On July 25, 2024, the Board extended the program until December 31, 2026 and increased the authorized buyback amount by P218 million, effectively restoring the available buyback pool to P300 million.

In 2024 alone, the Company repurchased 4.3 million shares amounting to P50.6 million. As of September 30, 2025, treasury shares stood at P292 million.

Note 14 - Earnings per share

Basic earnings per share is calculated by dividing the net income attributable to owners of CIC by the weighted average number of ordinary shares in issue during the period, excluding ordinary shares purchased by CIC and held as treasury shares, if any.

Earnings per share for the periods ended September 30 is calculated as follows:

	2025	2024
Net income (loss) attributable to owners of the Parent Company	641,460	554,664
Weighted average common shares - basic and diluted (in '000)	393,656	394,933
Basic and diluted earnings per share	1.63	1.40

The basic and diluted earnings per share are the same for each period presented as there are no potential dilutive common shares

ANNEX F

Management's Discussion and Analysis of Financial Condition and Results of Operations (based on the Unaudited Consolidated Results)

OVERVIEW OF THE BUSINESS

Concepcion Industrial Corporation ("CIC" or the "Company"), previously known as Concepcion Airconditioning Corporation ("CAC"), is recognized as one of the Philippines' foremost providers of residential and enterprise solutions. CIC's portfolio includes air conditioning systems, refrigerators, laundry appliances, kitchen and small domestic appliances, as well as elevators and escalators.

Leveraging its established expertise in air conditioning and refrigeration, CIC has evolved into a comprehensive provider of consumer and commercial solutions. The Company represents a range of prominent international and Philippine brands, such as Carrier, Toshiba, Otis, Midea, Condura, Kelvinator, Shark, and Ninja.

CIC's solutions are designed to meet the diverse needs of a wide-ranging clientele, encompassing individuals and families in private residences as well as small, medium, and large-scale developments. These include residential towers, office buildings, entertainment venues, infrastructure projects, and industrial facilities. The Company delivers solutions designed to ensure reliability, durability, comfort, energy efficiency, minimal environmental impact, user-friendliness, and aesthetic value, with customizable features available across various pricing categories.

In addition to product sales, CIC is dedicated to delivering comprehensive aftermarket services, encompassing periodic maintenance, parts supply, repairs, and lifecycle support, thereby ensuring long-term product performance and sustained customer satisfaction.

The Company also invests in advanced technology and customer engagement platforms to ensure its offerings remain aligned with changing consumer lifestyles.

Through this integrated approach to products, services, and customer interaction, CIC consistently delivers superior value and differentiation within the marketplace.

As of September 30, 2025, CIC has eight subsidiaries and two associates. The following are the significant subsidiaries and associates of the Company:

Name of Subsidiaries	**Percentage of Ownership**	
	Direct	**Indirect**
Carrier Air Conditioning Company (CCAC)	60%	-
Concepcion Durables, Inc. (CDI)	100%	-
Concepcion-Otis Philippines, Inc. (COPI)	-	51%
Concepcion Business Services, Inc. (CBSI)	100%	-
Cortex Technologies Corporation (CTC)	100%	-
Alstra Incorporated (Alstra)	100%	-
Teko Solutions Asia Inc. (Teko)	-	58%
Tenex Services, Inc. (Tenex)	-	100%

Name of Associates	**Percentage of Ownership**	
Concepcion Midea Inc. (CMI)	22%	18%
Teko Solutions Pte. Ltd. (Teko SG)	-	33%

Carrier Air Conditioning Company (CCAC)

CCAC is engaged in the manufacturing, sale, distribution, installation, and servicing of HVAC products and solutions across residential, commercial, and industrial sectors. Formed as a joint venture between the Company and Carrier Air Conditioning Philippines, Inc., CCAC is authorized to market Carrier and Toshiba air conditioning brands as well as Totaline aftermarket parts. The company's portfolio also includes other notable brands such as Condura and Kelvinator.

CCAC manufactures a selected range of air conditioning equipment at its facility located in the Light Industry and Science Park (LISP) in Cabuyao, Laguna, Philippines. This plant is recognized as the largest air conditioning manufacturing facility in the country, with an annual capacity of approximately 500,000 units and a production area covering 19,620 square meters.

The company distributes and markets its products nationwide, supported by a comprehensive after-market service network. According to the Company, CCAC holds the leading share of the total air conditioning market in the Philippines based on revenues, and secures prominent positions within the residential, light commercial, commercial, and industrial segments.

Concepcion Durables, Inc. (CDI)

CDI is engaged in the manufacturing, sales, and distribution of refrigeration equipment, including renowned brands such as Condura and Kelvinator refrigerators and freezers. The company produces a designated range of products at its facility located in LISP, Cabuyao, Laguna, which is situated adjacent to CCAC's air conditioning and commercial refrigeration plant. The CDI factory boasts an annual production capacity of 300,000 units and covers a production area of 16,420 square meters.

CDI maintains a leading position in the residential and light commercial ("RLC") refrigeration market within the Philippines. Since 2020, CDI has broadened its product portfolio to include small domestic appliances as well as kitchen and laundry appliances.

Concepcion Midea Inc. (CMI)

CMI is a joint venture between Midea Electric Trading (Singapore) Co. Pte. Ltd. (Midea), CIC, and CCAC. The company's primary objective is to introduce Midea brand products to the Philippine market, supplying a comprehensive range of appliances including air conditioners, refrigerators, and kitchen and laundry equipment. Along with Midea's wide selection, CMI also distributes Toshiba-branded refrigerators and various kitchen and laundry appliances, strengthening its multi-brand portfolio and supporting expansion into the broader white goods sector.

Midea is internationally recognized for its leadership in white goods and air conditioning systems manufacturing, operating in markets across the globe. As a Global Fortune 500 company, Midea further expands its reach through joint venture agreements with Carrier Corporation in select countries.

Concepcion-Otis Philippines, Inc. (COPI)

COPI is a joint venture between Alstra Inc., a wholly owned subsidiary of CIC, and Otis Elevator Company (Philippines). The company is responsible for the sale, installation, and servicing of Otis-branded elevators and escalators across the Philippines. Its comprehensive solutions portfolio includes engineering design, supply and installation, project management, testing and commissioning, as well as service repairs and retrofit services for vertical transportation equipment. Otis remains a global leader in the provision, installation, and maintenance of elevator and escalator systems.

Concepcion Business Services, Inc. (CBSI)

CBSI's core objective is to centralize support services for CIC and its subsidiaries and affiliates, with a particular focus on Finance, Human Resources, Information and Communications Technology, Legal and Compliance, and Facilities Management. In 2020, CBSI launched online platforms enabling other subsidiaries to engage directly in consumer sales.

Cortex Technologies Corporation (CTC)

CTC is engaged in the research, development, and commercialization of innovative technologies. The company also pursues strategic partnerships and identifies acquisition opportunities both domestically and internationally, aiming to deliver solutions aligned with CIC's overarching vision of enhancing lives and supporting businesses.

Operating across the organization, CTC drives innovation and supports CIC's leadership position in the market. On September 29, 2023, CTC was designated as the official distribution arm of CIC for its strategic partnership with SN APAC (formerly JS Global), tasked with marketing and selling home appliances under the "Shark" and "Ninja" brands. CTC has since broadened its product portfolio to include consumer appliances and continues to focus on establishing strategic partnerships, developing business and platform capabilities, and advancing its direct-to-consumer (D2C) operations.

Alstra Incorporated (Alstra)

Alstra Inc. is principally established as a holding company focused on investments in building and industrial market solutions. Additionally, Alstra is positioned to engage in the installation, construction, maintenance, and supply of equipment for mechanical, electrical, plumbing, and fire protection services. The company also offers facilities management, civil construction, technology services, and supplies electronics, devices, and related equipment associated with building services and related solutions.

Teko Solutions Asia Inc. (Teko)

Teko is focused on building and operating a platform to provide appliance repair and maintenance services. It leverages on information technology solutions and innovative business models to transform the appliance services market.

Tenex Services, Inc. (Tenex)

Tenex is positioned to provide HVAC installation, repairs and maintenance services to high-rise residential buildings, commercial and industrial buildings. Effective October 10, 2024, Tenex became a wholly owned subsidiary of the Company through its ownership in Alstra, Inc. from the latter's purchase of shares from 80% to 100%.

Teko Solutions Pte. Ltd. (Teko SG)

Teko SG is a company incorporated in Singapore. Its purpose of business is to be a holding company for the regional expansion of Teko across Southeast Asia.

FACTORS AFFECTING THE COMPANY'S RESULTS OF OPERATIONS

Factors affecting the Company's financial and operational results for the period ended September 30, 2025

Business & Investor Confidence: Business confidence in the Philippines declined in Q3, easing to 23.2% from 28.8% in Q2, largely due to seasonal demand slowdown and reduced foot traffic amid the rainy and typhoon season. Global and local investor risk appetite remained cautious, reflected in peso weakness and soft equity turnover.

Natural Calamities: The country experienced significant weather events in Q3, including Super Typhoon Ragasa and heavy monsoon flooding. In addition, major earthquakes occurred in late September and into October. These disruptions affected mobility, retail foot traffic, and supply chains, and are expected to have moderated demand and delayed some project activities.

Construction & Real Property Sector Developments: The residential property market gained momentum amid a pickup in demand, particularly for condominiums where inventory levels are gradually normalizing. However, buyers remain cautious and selective in light of macro uncertainty. Meanwhile, the office market continued to show steady growth, supported by sustained demand from both the IT-BPM sector and traditional office occupiers.

DESCRIPTION OF SELECTED INCOME STATEMENT ITEMS

Net Sales

The Company generates revenues from sales of air conditioning systems including repairs and maintenance services, refrigeration products, laundry and kitchen appliances through its subsidiaries, CCAC, CDI, CTC, and Tenex, including sales and service of elevators and escalators in COPI, and building and operating a platform to provide appliance repair and maintenance services in Teko.

Costs and Expenses

- Cost of sales and services

  The Company's cost of sales and services comprises the cost of finished goods, raw materials used for the Company's manufactured products, installation costs, labor, and manufacturing and service overhead.

- Expenses

  The Company's operating expenses include employee costs, outside services, freight out, rent and utilities, warranty costs, marketing and advertising costs, transportation, travel and entertainment, provisions for commission, impairment of receivables, inventory obsolescence, legal disputes and assessments, repairs and maintenance, royalties, non-income taxes and licenses, depreciation and amortization, commission expense, supplies, insurance, and professional fees.

- Other net operating income (loss)

  The Company's other operating income (loss) comprises of foreign exchange gain/loss, interest expense on loans, net of interest income on bank deposits and short-term placements, commission and service income.

Income tax expense (benefit)

The Company's income tax expense comprises the income taxes accrued and/or paid by the Company and its respective subsidiaries including the deferred income tax assets or tax related to future tax benefits.

Net Income

Net income represents the earnings of the Company and its respective subsidiaries.

Net Income Attributable to Parent

Net income attributable to Parent represents the Company's share at 60% of the net income of CCAC, 100% of the net income of CDI, 100% of the net income of CBSI, 100% of the net loss of CTC, 100% of the net income of Alstra, effectively 51% of the net income of COPI, effectively 58% of the net income of Teko, and effectively 100% of net loss of Tenex.

Segment information

The Company conducts profit and loss analyses for the Consumer and Commercial business segments, while assets, liabilities, and other accounts are reviewed at the entity level specifically CCAC, CDI, and COPI, with all remaining entities categorized under Others.

a. Profit or loss

Segment information on reported consolidated profit or loss for the periods ended September 30, as follows (amounts are in millions):

	Consumer Business	Commercial Business	Others	Total
2025				
Net sales and services	9,717	4,208	29	13,954
Timing of revenue recognition				
Point in time	9,657	3,218	-	12,875
Over time	60	990	29	1,079
Cost of sales and services	(6,680)	(2,781)	(25)	(9,486)
Gross profit	3,037	1,427	4	4,468
Operating expenses	(2,733)	(772)	-	(3,505)
Other operating income (loss)	19	34	-	53
*Interest income**	12	8	-	20
Interest expense	(9)	(8)	-	(17)
Share in net income of associates	209	-	-	209
Profit before tax	523	681	4	1,208
Income tax expense	(122)	(158)	(1)	(281)
Net income	401	523	3	927
2024				
Net sales and services	10,012	3,561	32	13,605
Timing of revenue recognition				
Point in time	9,974	2,533	-	12,507
Over time	38	1,028	32	1,098
Cost of sales and services	(6,730)	(2,231)	(30)	(8,991)
Gross profit	3,282	1,330	2	4,614
Operating expenses	(2,693)	(705)	-	(3,398)
Other operating income (loss)	15	15	-	30
*Interest income**	*13*	*15*	-	*28*
Interest expense	(9)	(2)	-	(11)
Share in net income of associates	102	-	-	102
Profit before tax	697	638	2	1,337
Income tax expense	(222)	(170)	-	(392)
Net income	475	468	2	945

**account included in other operating income (loss)*

The Consumer business segment encompasses the sale of air conditioners, refrigerators, laundry appliances, kitchen equipment, small domestic appliances, as well as aftermarket parts and associated services for end-user applications. This segment is supported by an extensive network of retailers, distributors, dealers, technicians, and online channels.

The Commercial business segment includes the provision of air conditioning products and services, along with the sales and servicing of elevators and escalators, primarily targeting industrial and commercial clientele. Sales are conducted both directly to end customers and through a network of accredited contractors. The Group revised the breakdown of the timing of revenue recognition under commercial business segment for the period ended September 30, 2024. The changes did not impact last year’s total revenue, net income, financial position and cash flow.

Others pertain to shared service income from CMI and affiliates.

b. Assets, Liabilities and Other Accounts

Segment information on consolidated assets and liabilities as at September 30, 2025 and December 31, 2024 (in millions) are as follows:

	CCAC	CDI	COPI	Others	Total
2025					
Current assets	5,396	2,970	952	1,254	10,572
Non-current assets	1,200	555	939	388	3,082
Current liabilities	2,296	1,721	548	495	5,060
Non-current liabilities	613	147	49	182	991
2024					
Current assets	5,982	2,856	1,139	796	10,773
Non-current assets	787	541	956	374	2,658
Current liabilities	2,507	1,374	755	573	5,209
Non-current liabilities	409	158	44	152	763

The balances presented are net of eliminations. Others are composed of the other entities in the Group including CIC as a legal entity.

RESULTS OF OPERATIONS

<u>Quarter Ended September 30, 2025 (Q3)</u>

CIC reported consolidated net sales of P3.9 billion in the third quarter, reflecting a 2% increase year-over-year, driven by strong performance in refrigeration, laundry, other appliance and commercial businesses partially offset by weaker demand for residential air conditioners. Including the contribution from its associate company, Concepcion Midea, Inc. (CMI), total group net sales reached P5.5 billion, marking an 11% increase compared to the same period last year. Despite the increase in revenue, consolidated earnings declined 35% to P141.5 million primarily due to lower margins from factory under-absorption.

Segment Net Sales

The Consumer segment posted P2.6 billion in net sales, down 1% year-on-year. Softer demand for air conditioning equipment persisted through the quarter, further weighed down by successive typhoons. This was partly offset by solid growth in the refrigeration category and continued strength in appliances, led by laundry, kitchen, and small household products.

In contrast, the Commercial segment posted net sales of P1.3 billion, representing a solid 10% year-on-year growth. This was primarily driven by robust sales of air conditioning and elevator equipment for commercial projects. Aftermarket service revenues also contributed to the overall increase.

Gross Profit

CIC registered Q3 gross profit of P1.3 billion, a 2% decrease versus last year mainly driven by under-absorption at the factory due to reduced production volumes.

Operating Expenses

Total operating expenses for the quarter stood at P1.1 billion, a 5% increase versus same period last year. The increase was mainly due to higher employee costs and higher provisions for excess inventory compared to recoveries in provisions booked in the same period last year.

Other Operating Income (loss) and Finance Costs

Other operating expense stood at P13.9 million, primarily reflecting foreign exchange losses from the weaker Philippine peso. Finance costs totaled P5.7 million, mainly representing interest on lease liabilities and short-term borrowings.

Net Income

CIC posted net income of P141.5 million, a decline of 35% versus the same period last year, driven by weaker retail aircon demand, reduced margins due to factory-related challenges and foreign exchange losses. These were partially mitigated by higher equity earnings from associate.

Profit after tax and minority interest (PATAMI) was P107.2 million, down 25% year-on-year mainly due to lower earnings.

<u>Year to Date September 30, 2025</u>

For the first nine months of the year, CIC consolidated net sales reached P14.0 billion, up 3% year-on-year, primarily driven by strong performance in the commercial business. Including contributions from it's associate company CMI, total group net sales increased by 11% to P19.6 billion. Despite the increase in revenue, consolidated earnings declined 2% to P927.1 million driven by decline in margins

Segment Net Sales

The Consumer segment posted P9.7 billion in net sales, a 3% decline from the same period last year. The decrease was mainly due to lower air conditioning category sales, driven by softer consumer demand during the peak season which extended into the third quarter. The shift toward more affordable product tiers also affected the mix. These were partially offset by 17% growth in refrigeration category and continued strength in appliances, which grew 63% on sustained demand for laundry, kitchen, and small household products.
Commercial business delivered P4.2 billion in net sales, posting a 18% growth versus last year. This increase was mainly driven by the growth momentum of air conditioning equipment sales in commercial projects, supported by the strong sales performance in the contractor network during the first half of the year. Additional contributions from elevator equipment sales and aftermarket service revenues further bolstered overall performance.

Gross Profit

CIC recorded gross profit of P4.5 billion, a 3% decline versus the same period last year. This was primarily due to competitive pricing during the peak months, higher input costs, and factory under-absorption.

Operating Expenses

Total operating expenses for the first nine months reached P3.5 billion, a 3% increase year-on-year in line with sales growth. The increase was driven by higher distribution costs and higher provisions for excess inventory and bad debts provisions, partly offset by employee expense and other provision writebacks.

Other Operating Income (loss) and Finance Costs

Other operating income ended at P52.6 million, mainly from foreign exchange gains in the first half partly offset by losses in Q3, interest income on time deposits and other income. Finance cost of P17.1 million pertained to interest expense on lease liabilities and short-term loans.

Net Income

CIC recorded nine month's net income of P927.1 million, a 2% decrease compared to last year. The decline was mainly attributed to margin compression and factory-related challenges. This was partly mitigated by higher equity earnings from associate and lower FX loss compared to last year.

Profit after tax after minority interest (PATAMI) was P641.5 million, 16% higher than same period in 2024, due to stronger results of its associate, CMI and better performance of select subsidiaries in the first half.

CONSOLIDATED FINANCIAL CONDITION

As at September 30, 2025 compared with as at December 31, 2024

The Company's financial and operating strategy enabled it to maintain a healthy financial condition to support growth initiatives and weather economic downturns.

Consolidated total assets as at September 30, 2025 amounted to P13.7 billion, an increase of P0.3 billion from end of 2024 of P13.4 billion. The increase in assets was mainly from higher inventory due to lower sales in the air conditioning category than anticipated. Consolidated net cash position was at P1.5 billion, a decrease of P0.9 billion from end of 2024.

Total liabilities as at September 30, 2025 amounted to P6.1 billion, an increase of P0.1 billion from December 31, 2024, mainly due to short term loan.

WORKING CAPITAL

As at September 30, 2025 and December 31, 2024, the Company's net current assets (the difference between total current assets, including cash and cash equivalents, and total current liabilities), were at P5.5 billion and P5.6 billion, respectively, representing still a healthy working capital.

The Company's current assets consist of cash and cash equivalents, trade and other receivables, contract assets, inventories, prepayments and other current assets. The Company's current liabilities consist of trade payables and other liabilities, short-term borrowings, lease liabilities, provision for warranty, other provisions and income tax payable.

CASH FLOWS

The following table sets forth information from the Company's consolidated statements of cash flows for the period indicated (amounts in millions):

	For the periods ended September 30	
	2025	**2024**
Net cash flows provided by operating activities	128.7	606.6
Net cash flows used in investing activities	(193.5)	(139.4)
Net cash flows used in financing activities	(838.3)	(803.5)
Net decrease in cash and cash equivalents	(903.1)	(336.3)

The net cash flows provided by operating activities for the period ended September 30, 2025 at P128.7 million composed of income before income tax of P1.2 billion, net positive movements in working capital and decrease in receivables, offset by the increase in inventories and decrease in liabilities.

The net cash flows used in investing activities for the period ended September 30, 2025 at P193.5 million mainly due to capital expenditures.

The net cash flows used in financing activities for the period ended September 30, 2025 at P838.3 million driven by dividend payout and lease payments.

Key Performance Indicators

The Company monitors its financial and operating performance in terms of the following indicators:

	Definition	Unaudited for the periods ended September 30	
		2025	**2024**
Gross Profit Margin	Gross Profit/Net Sales	32.0%	33.9%
Profit Before Tax	Profit before Tax/Net Sales	8.7%	9.8%
Net Income (% to Sales)	Net Income/Net Sales	6.6%	6.9%
Net Income/(Loss) Attributable to Shareholders (% to Sales)	Profit After Tax Attributable to Shareholders/Net Sales	4.6%	4.1%
Net Income/(Loss) Attributable to Shareholders (P Millions)	Net Income/(Loss) Attributable to Shareholders	641.5	554.7
Return on Average Equity	Net Income after Non-Controlling Interest / Average Shareholder's Equity net of Non-Controlling Interest	11.5%	10.8%
Return on Average Assets	Net Income/Average Assets	6.8%	7.5%
Earnings per Share*	Net Income after Non-Controlling Interest / Average Shares Outstanding	1.63	1.40

		Unaudited as at September 30	
		2025	**2024**
Current Ratio	Current Assets/Current Liabilities	2.1	2.1
Debt-to-Equity-Ratio	Total Liabilities/Total Equity	0.8	0.8
Asset-to-Equity Ratio	Total Assets/Total Equity	1.8	1.8
Book Value Per Share*	Shareholder's Equity net of Non-Controlling Interest / Total Shares Outstanding	14.5	13.3

**Total Number of Shares (weighted average) as at September 30, 2025 was 393,655,959 (2024 - 394,933,199)*